

TAXCASE REVIEW

IRS RESOLUTION INTELLIGENCE

FREE CHECKLIST

Payroll Tax Survival Checklist

What every contractor and business owner
needs to know about the Trust Fund Recovery Penalty.

Romy Cruz, EA

Licensed Enrolled Agent | 15 Years IRS Tax Resolution Experience

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The Trust Fund Recovery Penalty

If your business fell behind on 941 payroll tax deposits, the IRS can hold you **personally liable** — not just your business. This is called the Trust Fund Recovery Penalty (TFRP), and it follows individuals, not entities. Closing the LLC does not make it go away.

Under IRC §6672, any “responsible person” who “willfully” failed to pay can be assessed personally — this includes owners, CFOs, bookkeepers, and anyone with signing authority on payroll checks.

Who Counts as a “Responsible Person”

- Business owners and partners
- Officers and directors with financial control
- Bookkeepers or accountants who decide which bills get paid
- Anyone who signs payroll tax deposits or has check-signing authority
- Family members with financial decision-making power

Survival Checklist

Work through these in order. Check each box as you complete it.

■ 1. Confirm exactly which tax periods are behind

Pull your 941 filing history for the last 3 years. The IRS will only pursue TFRP on quarters where deposits were actually missed.

■ 2. Identify every responsible person

List everyone who had check-signing authority or financial control during the periods in question. This determines who the IRS may pursue.

■ 3. Do not attend a Form 4180 interview without representation

This interview determines TFRP liability. What you say can be used to assess the penalty personally. Never attend alone.

■ 4. File all outstanding returns before negotiating anything

No resolution program — installment agreement, OIC, or CNC — works until every required return is filed.

■ 5. Separate business resolution from personal exposure

Even if the business closes or files bankruptcy, TFRP survives bankruptcy under 11 USC §523. The business and personal exposure must be handled separately.

■ 6. Request a TFRP defense review before any IRS interview

Common defenses include lack of authority, lack of knowledge, or IRS calculation error. These must be raised early.

■ 7. Set up current payroll deposits correctly going forward

If your business is still operating, get current 941 deposits on track immediately — the IRS treats ongoing non-compliance far more aggressively.

If you've already received Form 4180 or a TFRP assessment letter, time matters. Appeal rights have deadlines.

Protect Yourself From TFRP

Free 15-minute case review with Romy Cruz, EA — Licensed Enrolled Agent, 15 years of IRS tax resolution experience. We'll walk through your exact situation and tell you which options apply.

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Tax situations vary significantly. This guide is for informational purposes and does not constitute legal or tax advice.